SENIORS AUDIT

Your RMD Tax & Withdrawal Planning Workbook

What you're required to withdraw, what it costs in taxes, and the one move that can lower both at once

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What This Workbook Helps You Decide

This workbook answers three connected questions: How much am I required to withdraw from my retirement accounts this year? How much of that gets taxed, and at what rate? And is there a way to reduce that tax bill using money I'm required to take out anyway? Required Minimum Distributions (RMDs) are not optional — but how you plan around them changes your tax bill substantially.

2026 UPDATE MOST GUIDES HAVEN'T CAUGHT UP TO:

A new federal law (the One Big Beautiful Bill Act) created an additional $6,000 senior tax deduction for 2025 through 2028 — on top of the deductions you may already know about. Page 6 shows exactly how it works and who it phases out for.

Who this is for

- You're approaching age 73 or 75 and have never taken an RMD before
- You're already taking RMDs and want to understand the tax impact more clearly
- You're charitably inclined and want to know if a Qualified Charitable Distribution (QCD) could help you

Who should also talk to a professional

- You have an inherited IRA (different rules apply — not covered in this workbook)
- Your spouse is more than 10 years younger than you (a different IRS table applies)
- You have unusually large or complex retirement account holdings across many institutions

Before You Begin

Gather these — it takes about 10 minutes and makes every calculation in this workbook exact instead of approximate:

- ☐ Your birth year (determines when your RMDs start)
- ☐ The balance of each Traditional IRA, 401(k), 403(b), or similar account as of December 31 of last year
- ☐ Your other expected income this year: Social Security, pension, part-time work
- ☐ Your filing status (single, married filing jointly, head of household)

RMDs generally do NOT apply to Roth IRAs during the original owner's lifetime. If all your retirement savings are in a Roth IRA, most of this workbook won't apply to you — but Steps 3–4 on taxes are still useful for your overall tax picture.

Step 1 — Find Your RMD Start Age and Divisor

If you were born	Your RMD start age
1951 – 1959	73
1960 or later	75

Your RMD is calculated by dividing your account balance by a 'distribution period' number (divisor) set by the IRS, based on your age. This table (the Uniform Lifetime Table) covers most account owners:

Your age this year	Divisor
73	26.5
74	25.5
75	24.6
76	23.7
77	22.9

Source: IRS Publication 590-B, Uniform Lifetime Table

If your spouse is the sole beneficiary AND is more than 10 years younger than you, a different table (the Joint and Last Survivor Table) applies and usually produces a smaller RMD. This workbook doesn't cover that table — a tax professional can confirm your exact divisor.

My birth year: _____

My RMD start age: _____

My age this year: _____

My divisor (from table above): _____

Step 2 — Calculate Your RMD

The formula: Account balance (as of Dec 31 last year) ÷ Your divisor = Your RMD for this account.

Worked example — Robert:

Robert turned 75 in 2026. His Traditional IRA balance on December 31, 2025 was $500,000. His divisor at age 75 is 24.6.

$500,000 ÷ 24.6 = $20,325 required minimum distribution for 2026 (about 4.07% of his balance).

If you have more than one Traditional IRA, you calculate the RMD for each separately, but you can withdraw the total from just one of them if you prefer. 401(k) and 403(b) accounts generally must have their RMDs taken from EACH account separately — this is an important difference from IRAs.

Account 1 balance ÷ divisor =: _____

Account 2 balance ÷ divisor =: _____

Total RMD required this year: _____

THE TWO-RMDS-IN-ONE-YEAR TRAP: If this is your FIRST RMD year, you're allowed to delay your first withdrawal until April 1 of the following year. But your SECOND RMD is still due by December 31 of that same year — meaning two years of taxable withdrawals can land on one tax return, often pushing you into a higher bracket or an IRMAA surcharge tier. Most people are better off taking their first RMD on the normal schedule (by December 31 of the year they turn their start age) specifically to avoid this stacking effect.

Source: IRS Publication 590-B

Step 3 — Your 2026 Tax Deductions

Before your RMD income is taxed, it's reduced by your standard deduction — and if you're 65+, by two additional deductions most people don't fully know about.

Deduction	2026 amount
Base standard deduction (single)	$16,100
Base standard deduction (married filing jointly)	$32,200
Additional deduction, age 65+ (single)	$2,050
Additional deduction, age 65+ (per qualifying spouse, MFJ)	$1,650
NEW: OBBBA senior deduction, age 65+ (per person, 2025–2028 only)	Up to $6,000

IMPORTANT

The new $6,000 OBBBA senior deduction phases out once your Modified Adjusted Gross Income (MAGI) exceeds $75,000 (single) or $150,000 (married filing jointly) — reduced by 6% of every dollar over that threshold, fully gone at $175,000 (single) or $250,000 (MFJ). Your RMD income counts toward this MAGI calculation, so a large RMD can shrink this deduction in the same year it creates it.

Worked example:

A single filer, age 75, with $95,000 in MAGI: $95,000 − $75,000 = $20,000 over the threshold. $20,000 × 6% = $1,200 reduction. Remaining OBBBA deduction: $6,000 − $1,200 = $4,800.

My filing status: _____

My base standard deduction: _____

My age-65+ additional deduction: _____

My estimated OBBBA senior deduction (after any phase-out):

My total deductions: _____

Source: IRS.gov, '2026 filing season updates and resources for seniors'; IRS Revenue Procedure 2025-32

Step 4 — Where Your Income Lands in the 2026 Tax Brackets

Single filers:

Taxable income	Tax rate
$0 – $12,400	10%
$12,400 – $50,400	12%
$50,400 – $105,700	22%
$105,700 – $201,775	24%
$201,775 – $256,225	32%
$256,225 – $640,600	35%
Over $640,600	37%

Married filing jointly thresholds are roughly double these amounts at each level. These are marginal rates — only the income within each bracket is taxed at that bracket's rate, not your entire income.

> The jump between 22% and 24% is a common planning threshold — many retirees try to keep RMDs and other income from crossing this line when they have flexibility (for example, through Roth conversions in earlier years or a QCD, covered next).

My estimated taxable income (RMD + other income − deductions from Step 3):

My top marginal bracket: _____

Source: IRS Revenue Procedure 2025-32 (2026 inflation adjustments)

Step 5 — Qualified Charitable Distributions: One Move, Five Effects

If you're charitably inclined, a Qualified Charitable Distribution (QCD) — a direct transfer from your Traditional IRA to a qualifying 501(c)(3) charity — is one of the few planning moves that affects your entire tax picture at once, not just one number.

A QCD of, say, $20,000 can simultaneously:

1. Satisfy up to $20,000 of your RMD requirement
2. Remove that $20,000 from your Adjusted Gross Income entirely (unlike a regular charitable deduction)
3. Lower your 'provisional income,' which may reduce how much of your Social Security is taxable
4. Protect more of your OBBBA senior deduction from phasing out (Step 3)
5. Lower your MAGI for Medicare IRMAA purposes two years in the future

QCD detail	2026 figure
Maximum annual QCD	$111,000 per person
Minimum age to make a QCD	70½
Must go directly from IRA to charity	Yes — you cannot receive the funds first

A QCD is different from a regular charitable donation you deduct on Schedule A. With a QCD, the money never counts as income in the first place — which is more valuable than a deduction if you take the standard deduction and wouldn't have itemized anyway.

Charitable amount I might consider as a QCD this year:

Source: IRS Publication 590-B; IRS.gov QCD guidance

Step 6 — Still Working? A Narrow but Real Exception

If you're still working past your RMD start age for the SAME employer that sponsors your 401(k) or similar plan, you may be able to delay RMDs from that specific plan until you actually retire.

> This exception ONLY applies to the current employer's plan — it does NOT delay RMDs from IRAs, old 401(k)s from previous employers, or any other account. Many people mistakenly assume working delays every RMD; it only delays one specific account, if you qualify.

Do I qualify for this exception?

- ☐ Yes, for my current employer's plan
- ☐ No
- ☐ Not sure — will confirm with HR/plan administrator

Your Decision Worksheet

	My numbers
Total RMD required this year	
Total deductions (Step 3)	
Estimated taxable income	
Top marginal tax bracket	
QCD amount I'm considering	

Weighting guide (do not skip):

If your MAGI is comfortably under $75,000 (single) or $150,000 (MFJ), your OBBBA deduction is likely intact and a QCD is optional rather than urgent. If your MAGI is near or above these thresholds, a QCD becomes more valuable — it's one of the few tools that can pull your MAGI back down after the fact, protecting both your OBBBA deduction and your future IRMAA exposure. If you're unsure which situation you're in, that uncertainty itself is worth resolving with a tax professional before December 31, since QCDs and other year-end moves can't be made retroactively once the year ends.

Action Checklist

- ☐ Confirm your exact RMD start age and current-year divisor (Step 1)
- ☐ Calculate your total RMD across all applicable accounts (Step 2)
- ☐ If this is your first RMD year, decide whether to take it by December 31 (recommended) or delay to April 1 (Step 2 trap)
- ☐ Estimate your 2026 deductions, including the new OBBBA senior deduction (Step 3)
- ☐ Estimate where your income lands in the tax brackets (Step 4)
- ☐ If charitably inclined, discuss a QCD with your IRA custodian before December 31 (Step 5)
- ☐ Confirm whether the still-working exception applies to you, if relevant (Step 6)
- ☐ Take your full RMD before December 31 to avoid the IRS penalty for missed RMDs

Common Mistakes & Pro Tips

1. Delaying the first RMD without realizing it stacks two years of income together. Usually costs more in taxes/IRMAA than it saves.
2. Assuming the still-working exception delays ALL your RMDs. It only applies to your current employer's plan.
3. Making a charitable donation the regular way instead of as a QCD. If you're 70½+ and already taking the standard deduction, a QCD is usually more valuable than a Schedule A deduction.
4. Not accounting for the OBBBA phase-out when estimating next year's taxes. A large RMD can shrink this deduction in the same year it applies.
5. Missing the RMD deadline entirely. The IRS penalty for a missed RMD is significant — set a calendar reminder well before December 31.

⚡ PRO TIP

If you have multiple IRAs, calculate each account's RMD separately, but remember you can satisfy the total from just one account — this can simplify things if one IRA has better cash availability than another.

How to Read the Confidence Markers

🟢 Straightforward

Single IRA, no inherited accounts, spouse within 10 years of your age or no spouse.

🟡 Review carefully

Multiple account types (IRA + 401(k)), considering a QCD for the first time, near an OBBBA phase-out threshold.

🔴 Professional review recommended

Inherited IRAs, a spouse more than 10 years younger, still-working exception questions, or income near an IRMAA threshold.

Sources & Update Information

- IRS 2026 Filing Season Updates for Seniors — irs.gov/newsroom/2026-filing-season-updates-and-resources-for-seniors
- IRS Publication 590-B (RMD rules, Uniform Lifetime Table) — irs.gov/publications/p590b
- IRS Revenue Procedure 2025-32 (2026 tax brackets and deductions)
- Free Seniors Audit RMD Calculator — seniorsaudit.com/tools/rmd-calculator
- Free Seniors Audit RMD Tax & Withholding Calculator — seniorsaudit.com/tools/rmd-tax-withholding-calculator

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